



## NVIDIA (NVDA: \$125.61 – NEUTRAL)

Important disclosures can be found in the appendix.

### NVDA: Beat & Raise, Margins & F4Q Guide Likely Disappointing, Blackwell “Several \$B” in F4Q/Jan’25

#### Earnings Takeaways

1. **Revs \$30.04B, ahead of \$28.74B consensus** and our \$28.6B. Revs had been guided \$28B. NVDA has beaten the mid-point of their rev guide by ~\$2B+ for five consecutive quarters.
2. **EPS reported \$0.68, ahead of consensus \$0.65** and our \$0.64.
3. **Gross margin in-line** at 75.7% vs. 75.5% guide. Gross margins were down 320bps Q/Q but were up 450bps Y/Y.
4. **Reiterate gross margin expected mid-70% for FY25.** Margin in F3Q/Oct. was guided to 75%, in-line with our est. Guidance to mid-70% range implies further degradation in F4Q; we are modeling ~74%. We see two potential pressures to margins in F2H – (1) feedback in our work suggests next gen products (H200, H20, Blackwell) are likely margin dilutive to H100; and (2) some potential added costs from the delayed/alterd Blackwell ramp (expedite, TSM commitments, scrap, other).
5. **Guide F3Q ahead of cons. at \$32.5B vs. \$31.7B cons.,** in-line with our \$32.4B. Datacenter was guided to grow again Q/Q, no guidance was provided for other business segments. We had modeled continued 15-20% Q/Q growth in datacenter despite the expected delay in Blackwell shipments; feedback suggested at least some Blackwell shipments, available Hopper supply, and a pickup in H200 orders following the roadmap change.
6. **Implied F4Q guide on margins, opex may make cons. difficult to achieve; could reverse in FY26.** With opex guided to upper-40% range for FY25 and gross margins implied to decline again Q/Q in F4Q, our EPS estimate at ~\$35.4B equates to ~\$0.76; consensus ahead of the quarter were \$34.9B in revenues and \$0.78 EPS. Margins in F2Q were noted as impacted by inventory reserves on poor yielding Blackwell and we see this likely impacting F2H as well; as the new products ramp to more mature yields we see potential for these margin headwinds to abate.
7. **Datacenter well ahead, Inference >40%, China material contributor.** Datacenter revs of \$26.3B were +16% Q/Q, above cons. of \$25.3B and our \$25.1B. GPUs/Compute grew 2.5x Y/Y, networking 2x. Large cloud customers were noted as mid-40% of Datacenter revs, similar to the prior quarter and down from Jan. when cloud was noted as >50% of Datacenter revs. NVDA reiterated Inference workloads as contributing >40% of their trailing four quarter Datacenter revenues, an estimate we continue to find surprisingly high with most of our work indicating a very limited number of customers have moved workloads to production from Training. China was noted as a significant contributor to Datacenter growth following additional Q/Q growth; we believe this is likely material among the headwinds to gross margins.
8. **Blackwell mask change done, ‘several billions’ in F4Q.** NVDA noted no other changes were needed to ramp the altered Blackwell, that some samples were happening now, and based on their guide Blackwell would be 10%+ of our modeled Datacenter estimate in F4Q. This appears to be a very aggressive turnaround for a reworked product. Limited detail was given on how the product set has changed; we noted feedback from the channel in our 8/15 monthly update was highly likely to change given the recency of the product roadmap change and unknowns around customer decisions. In our research, new products were expected to sample in Oct. and ramp in early CY25 with F2H25 Blackwell revs from existing (G)B200 inventory; we look to our Sep.-Nov. updates to gain conviction in NVDA ramping the products to the revised timeline.
9. **Gaming commentary more constructive than our reads.** NVDA noted clean channel inventory and strong demand in Gaming, but did not guide the segment for Oct. Feedback in our research is less constructive on demand and inventory, and we maintain our model calling for Q/Q declines in F2H25.

#### Conclusion

NVDA results far exceeded elevated expectations for the sixth consecutive quarter and guide was better than consensus again. Positives from guidance were revenues and implied EPS ahead of cons., “several billions” of Blackwell expected in F4Q, and Hopper guided for H/H growth in F2H; cautious points from guidance were further deceleration in Q/Q revenue growth (up ~9%; albeit off higher base), higher opex, and likely most concerning to investors, the implied guide for further gross margin degradation Q/Q in F4Q. The combination of lower gross margin and higher opex could make F4Q estimates difficult to achieve unless Hopper revenues trend flat or better Q/Q and Blackwell hits the projected timing/revenues. We see these challenges as transitory with a strong backdrop for CY25 of robust cloud capex guidance, ramping new product set, and potential tailwinds to margins as new products ramp. There are still some yellow flags in our research, however, feedback overall points to strong upside potential to our FY26 model, leaving us biased positive in seeing strong potential for further positive rev/EPS revisions in CY25.

**Nvidia - Edgewater Research Key Modeling Assumptions & FactSet Consensus EPS (non-GAAP)**

|                      | <u>FY22</u> | <u>FY23</u> | <u>1Q24</u><br><i>Apr.</i> | <u>2Q24</u><br><i>Jul.</i> | <u>3Q24</u><br><i>Oct.</i> | <u>4Q24</u><br><i>Jan.</i> | <u>FY24</u> | <u>1Q25E</u><br><i>Apr.</i> | <u>2Q25</u><br><i>Jul.</i> | <u>3Q25E</u><br><i>Oct.</i> | <u>4Q25E</u><br><i>Jan.</i> | <u>FY25E</u> | <u>FY26E</u> |
|----------------------|-------------|-------------|----------------------------|----------------------------|----------------------------|----------------------------|-------------|-----------------------------|----------------------------|-----------------------------|-----------------------------|--------------|--------------|
| Edgewater Revs (\$M) | 26,914      | 26,974      | 7,192                      | 13,507                     | 18,120                     | 22,103                     | 60,922      | 26,044                      | 30,040                     | 32,602                      | 35,378                      | 124,064      | 174,698      |
| Edgewater GM %       | 67%         | 59%         | 67%                        | 71%                        | 75%                        | 77%                        | 74%         | 79%                         | 76%                        | 75%                         | 74%                         | 76%          | 74%          |
| Edgewater EPS        | \$0.44      | \$0.33      | \$0.11                     | \$0.27                     | \$0.40                     | \$0.52                     | \$1.30      | \$0.61                      | \$0.68                     | \$0.73                      | \$0.76                      | \$2.78       | \$3.84       |
| Guide Revs (\$M)     |             |             |                            |                            |                            |                            |             |                             | \$28,000                   | \$32,000                    |                             |              |              |
| Guide GM %           |             |             |                            |                            |                            |                            |             |                             | 75.5%                      | 75%                         |                             | mid-70%      |              |
| Cons. Revs (\$M)     |             |             |                            |                            |                            |                            |             |                             | \$28,737                   | \$31,714                    | \$34,883                    | \$121,105    | \$168,062    |
| Consensus EPS        |             |             |                            |                            |                            |                            |             |                             | \$0.65                     | \$0.71                      | \$0.78                      | \$2.73       | \$3.81       |
| Datacenter           | 10,613      | 15,005      | 4,284                      | 10,323                     | 14,514                     | 18,404                     | 47,525      | 22,563                      | 26,272                     | 28,899                      | 31,789                      | 109,523      | 157,706      |
| Gaming               | 12,462      | 9,067       | 2,240                      | 2,486                      | 2,856                      | 2,865                      | 10,447      | 2,647                       | 2,880                      | 2,736                       | 2,599                       | 10,862       | 12,719       |

Source: Nvidia, FactSet, Edgewater Research estimates

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**APPENDIX****Companies Mentioned**

NVIDIA (NVDA: \$125.61 – NEUTRAL)

TAIWAN SEMICONDUCTOR (TSM: \$169.20 – NOT RATED)

**Important Disclosures****Outperform:** The stock's return is expected to exceed the market due to superior fundamentals and positive catalysts.**Neutral:** The stock is expected to be in line with the market due to full valuation and/or lack of catalysts.**Underperform:** The stock's total return is expected to underperform the market due to weak fundamentals and a lack of catalysts.**Valuation & Risk:** Price targets are established by various valuation methods. Price targets are not established for every stock. The effectiveness of the price target may be affected by various outside factors.

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